



UAE FDI Resilience 2025-2026

Short-Run Dynamics & Policy
Implications

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Executive Summary

UAE FDI has entered a structurally stronger phase, with inflows reaching \$45bn in 2024.

- The 2023–2024 surge reflects more than a cyclical rebound.
- Short-run volatility remains linked to oil prices & global liquidity.
- 2025–2026 forecasts stay elevated across scenarios.
- Policy priority: reinforce structural momentum and avoid overreacting to cyclical noise.



Analytical Framework



Objective

Assess short-run drivers of UAE FDI inflows and evaluate near-term resilience.

Method

Autoregressive Distributed Lag (ARDL) framework capturing relationships between:

- FDI inflows
- Oil prices (Brent)
- GDP growth
- Trade Openness

Focus

Short-run dynamics rather than long-run equilibrium relationships.

Data Sources & Variables

VARIABLE	SOURCE	PURPOSE
FDI, net inflows (USD) - UAE	BoP database World Bank -WDI	Dependent variable
Global price of Brent Crude (USD per barrel)	FRED	External economic driver
Real GDP growth UAE	IMF WEO	Domestic macroeconomic control
Trade as a % of GDP - UAE	World Bank	Competitiveness /Openness proxy

Note: Natural logarithm transformation applied to FDI and Brent oil prices to stabilize variance and skewness.



Why an ARDL Framework?



Annual Data Structure

- Limited historical sample of UAE macroeconomic data
- ARDL models perform well in small-sample time series

Flexible Time-Series Model

ARDL well suited for:

- mixed stationarity $I(0)$ and $I(1)$
- dynamic lag relationships
- interpretable macroeconomic drivers

Possible Concern - Oil Sensitivity

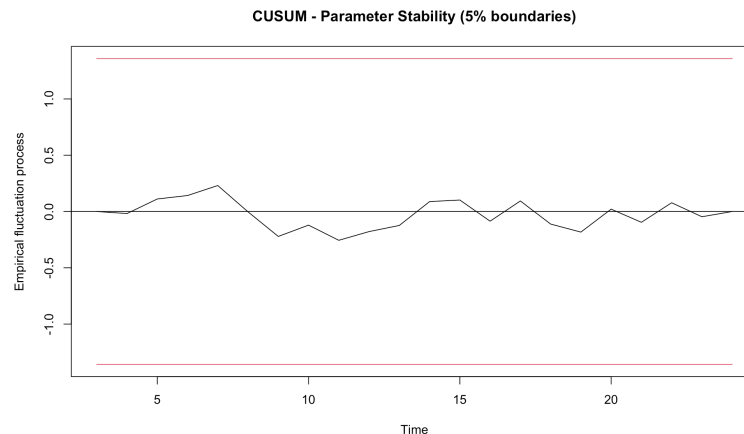
FDI forecasts can react strongly to oil price shocks.

To mitigate this, forecasts are later blended with a trend anchor reflecting recent investment momentum.

Model Specification & Validation

- Optimal lag selection using AIC:
 - ❖ Selected Model: **ARDL(2,3,3,0)**
- Diagnostic results:
 - ✓ Residuals approximately normal
 - ✓ No evidence of heteroskedasticity
 - ✓ Serial correlation corrected using Newey–West HAC errors
 - ✓ CUMSUM and MOSUM tests confirm parameter stability

ln_fdi	ln_brent	trade_pct_gdp	gdp_real_growth	AIC
2	3	3	0	31.37918
2	3	3	1	32.17496
2	3	3	2	33.60434
2	3	2	2	34.13704
3	3	3	3	36.21749
1	3	0	0	36.24956



ARDL Scenario Framework



Upside Scenario

Liquidity & Confidence

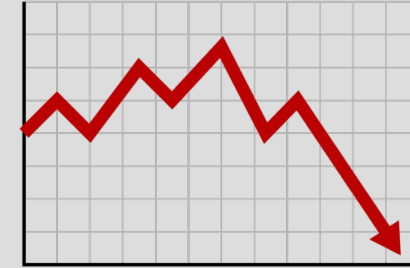
- Brent oil price strengthens
- Global financial conditions ease faster than expected
- Investor confidence improves



Base Case

Gradual Normalization

- Oil price stabilizes near recent levels
- Financial conditions ease gradually
- UAE growth stays stable

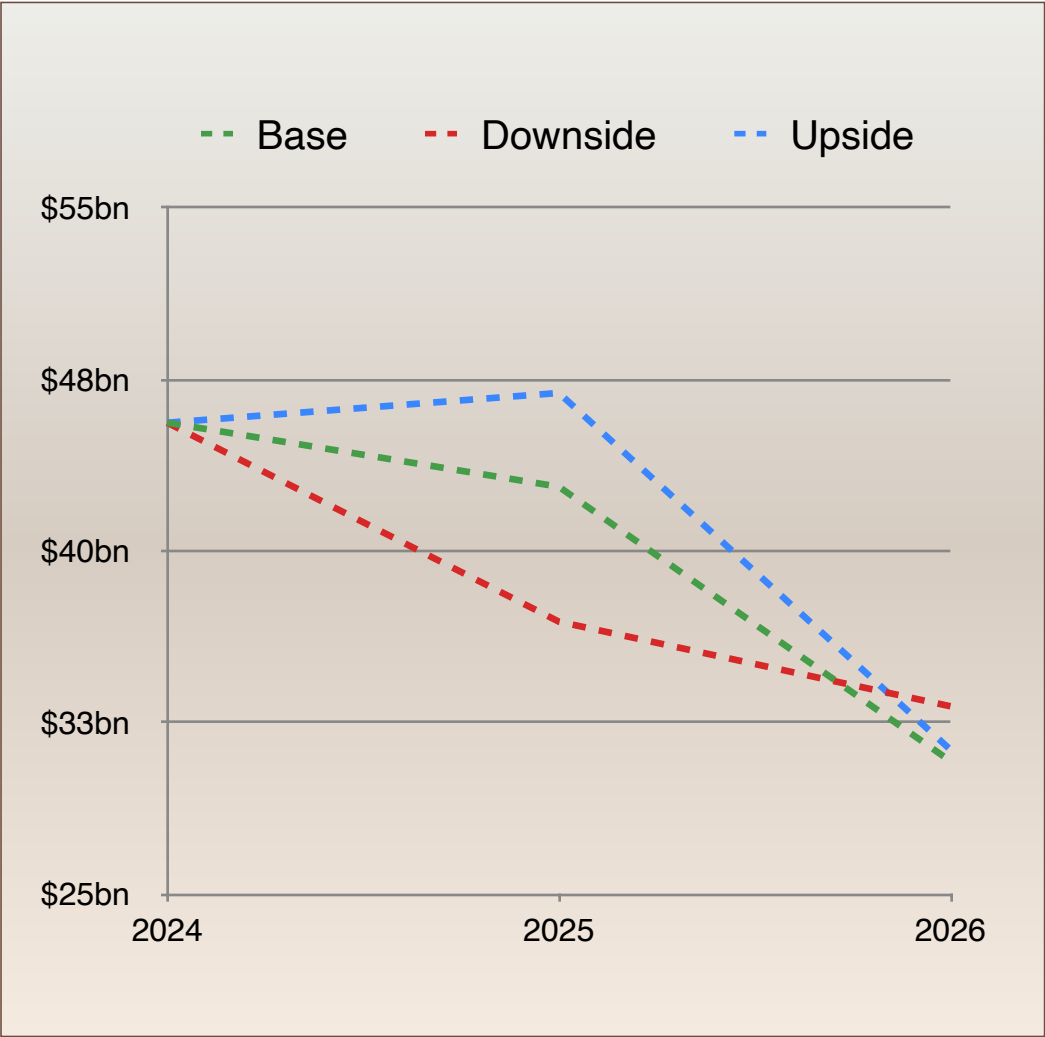


Downside Scenario

Prolonged Tightness

- Brent oil price drops
- Financial conditions remain restrictive
- Investors become more risk averse

ARDL Scenario Results



Scenario	FDI 2025	FDI 2026
Base	\$42.8bn	\$30.8bn
Downside	\$36.9bn	\$33.2bn
Upside	\$46.9bn	\$31.3bn

Key Insight

- Differences across scenarios are **largest in 2025**, when oil and liquidity effects are strongest.
- By **2026 outcomes converge**, indicating partial normalization after the initial macroeconomic shock.



Trend Anchor Adjustment

Recent FDI momentum suggests a stronger investment trajectory than historical dynamics alone would imply.

Why Use a Trend Anchor?

- ARDL captures short-run macroeconomic dynamics
- Anchor reflects recent investment momentum
- The anchor smooths volatility in model-based forecasts

What is the Trend Anchor?

- Weighted geometric average of FDI growth (2016–2024)
- Higher weights assigned to post-COVID years (2023–2024)
- Generates a momentum-based projection for 2025–2026

Blended Forecast

To balance historical dynamics with recent investment momentum, forecasts are constructed as a weighted blend of:

- ARDL model forecasts
- Trend anchor projections

Method

$$FDI\ Forecast_t = w \times ARDL_t + (1 - w) \times Anchor_t,$$

- w = weight on ARDL
- $ARDL_t$ = ARDL-based forecast for year t
- $Anchor_t$ = Trend anchor projections for year t

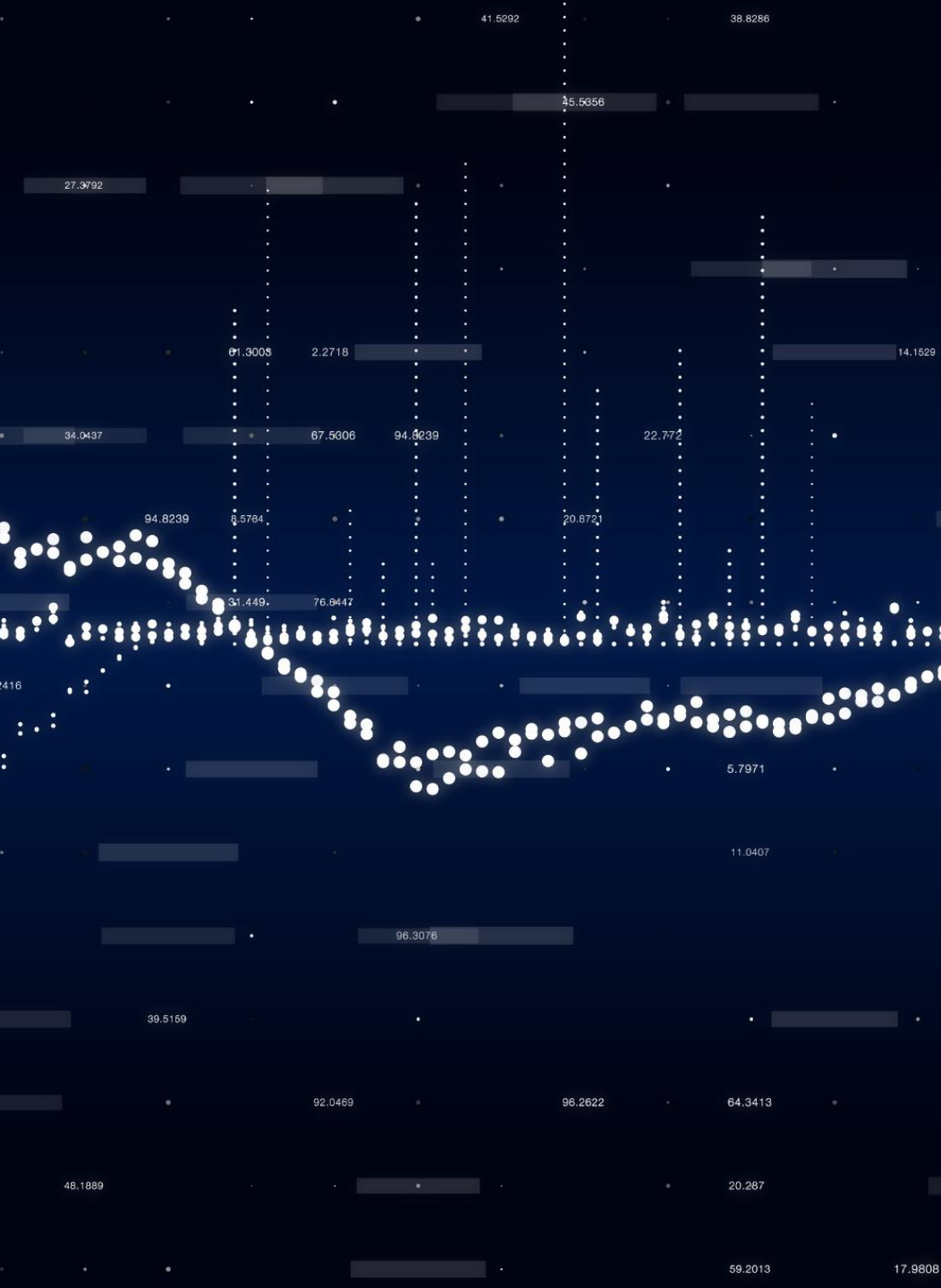
Neutral reference specification: **$w = 0.5$**

Forecast Inputs

ARDL forecasts require projections for key macroeconomic drivers:

- Brent oil price: \$78 in 2025, moderating to \$72 in 2026
- Trade Openness: projected using a simple AR(1) process
- Real GDP growth: IMF World Economic Outlook projections

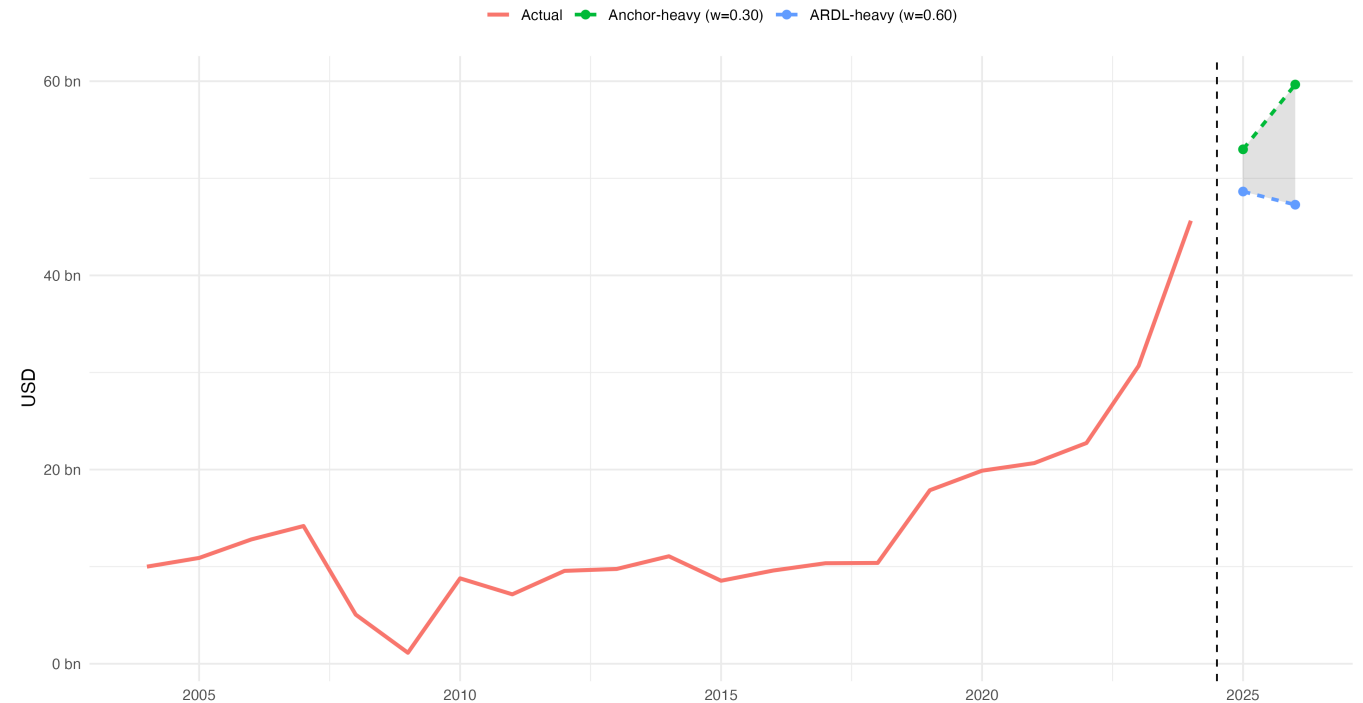




Forecast Sensitivity

Weight sensitivity (w = 0.3 to 0.6)

Forecasts are recalculated across a range of weights:



Key Insight: The magnitude of moderation depends on the weight assigned to the ARDL model.

Strategic Recommendation ($w = 0.3$)

Strategic Baseline: Anchor-Heavy Specification

Forward-looking evidence supports an anchor-heavy specification ($w = 0.3$) for policy interpretation.

Supporting Evidence

1. Multi-year technology investment

Large AI and data-infrastructure projects (e.g., Microsoft–G42 partnership and UAE Stargate campus) deploy capital over multiple years.

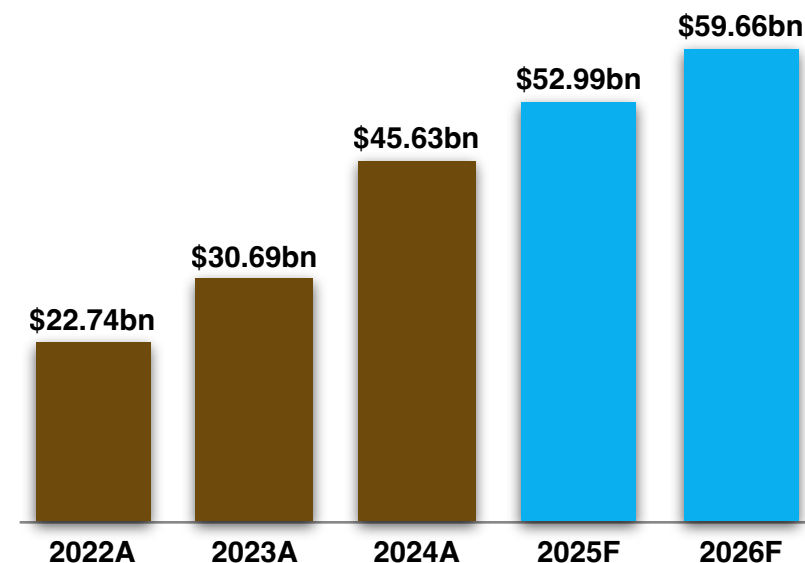
2. Sustained greenfield pipeline

The UAE remains among the global leaders in greenfield project announcements, with investment typically deployed over several years.

3. Explicit investment strategy

The National Investment Strategy 2031 targets AED 240bn in annual FDI, supported by reforms such as 100% foreign ownership and NextGen FDI.

Takeaway: Under $w = 0.3$, inflows remain elevated in 2025 and moderate gradually in 2026, reflecting resilience rather than rapid normalization.



Note: Results of the strategic recommendation, i.e., $w = 0.3$



Policy Implications & Outlook

Policy Priorities

1. **Maintain regulatory stability:** Clear and predictable rules reduce uncertainty in investment decisions.
2. **Support reinvestment & investor retention:** Existing investors are a key source of sustained inflows.
3. **Strengthen investment platforms:** Investment in logistics, digital infrastructure, and advanced manufacturing reinforces long-term competitiveness.

Core Outlook

While short-term volatility reflects global liquidity and oil prices, the UAE's medium-term FDI trajectory is increasingly anchored by structural investment strength.